

TSEC Risk & Cyber Advisory LLC

Integrated Cybersecurity, Risk & Compliance Advisory

GUIDE-AML-01

AML Compliance Fundamentals

An Introduction to Anti-Money Laundering for Financial Services Professionals
TSEC Compliance Insights | AML Series

Document ID:	GUIDE-AML-01
Version:	2026 Edition
Effective Date:	June 2026
Classification:	CONFIDENTIAL
Prepared by:	TSEC Risk & Cyber Advisory LLC

TSEC Compliance Insights | TSEC Risk & Cyber Advisory LLC | www.tsecgrc.com | info@tsecgrc.com

1. Introduction: What Is Money Laundering?

Money laundering is the process of concealing the origins of criminal proceeds so that they appear to be derived from legitimate sources. The classic model describes three stages: placement (introducing criminal funds into the financial system); layering (conducting transactions to obscure the trail, such as wire transfers through multiple accounts or jurisdictions); and integration (reintroducing the funds into the legitimate economy as apparently clean money). Terrorist financing presents a related but distinct problem: unlike money laundering, terrorist financing may involve legitimately sourced funds being used for illegal purposes, making it harder to detect through transaction patterns alone.

Financial institutions sit at the intersection of the legitimate and shadow economies, making them both the primary vehicle for financial crime and the first line of defense against it. The U.S. Bank Secrecy Act (BSA), FinCEN regulations, and international standards developed by the Financial Action Task Force (FATF) impose specific obligations on financial institutions to implement controls, file reports, and maintain records that support law enforcement's ability to detect and prosecute financial crime.

2. The Regulatory Framework

The Bank Secrecy Act

The Bank Secrecy Act (31 U.S.C. §§ 5311-5336), enacted in 1970 and significantly strengthened by the USA PATRIOT Act in 2001 and the Anti-Money Laundering Act of 2020 (AMLA), is the cornerstone of the U.S. AML regime. The BSA requires financial institutions to maintain AML programs, file Suspicious Activity Reports (SARs), file Currency Transaction Reports (CTRs), and maintain records supporting law enforcement investigations. FinCEN, a bureau of the U.S. Department of the Treasury, administers and enforces the BSA.

FinCEN and the CDD Rule

FinCEN's Customer Due Diligence Rule (31 CFR 1010.230), effective 2018, added a fifth AML pillar to the traditional four (internal controls, independent testing, designated compliance officer, training): Customer Due Diligence. The CDD Rule requires covered institutions to identify and verify the identity of beneficial owners of legal entity customers and understand the nature and purpose of customer relationships to develop a risk profile for each customer.

FATF Recommendations

The Financial Action Task Force is an intergovernmental body that sets international standards for AML/CFT. Its 40 Recommendations provide the global baseline for AML programs, and FATF's mutual evaluation process assesses member countries' compliance with its standards. FATF's grey list (increased monitoring) and blacklist (high-risk jurisdictions) are critical inputs to financial institutions' geographic risk assessments.

3. The Five Pillars of an AML Compliance Program

Pillar	Description	Key Requirements
1. Internal Controls	Policies, procedures, and systems designed to detect and prevent money laundering and terrorist financing	Customer Identification Program; CDD and EDD; transaction monitoring; CTR and SAR filing; OFAC screening; recordkeeping

2. Independent Testing	Periodic audit or review of the AML program's design and effectiveness by qualified personnel not involved in administering the program	At least annually; evaluates adequacy of monitoring, quality of SAR decisions, CDD documentation, training coverage
3. Designated Compliance Officer (BSA Officer)	A qualified individual responsible for day-to-day management of the AML program	Must have knowledge of BSA/AML requirements; reporting line to senior management; resources to effectively administer the program
4. Training	Ongoing training for relevant personnel on the institution's BSA/AML obligations and red flags	All relevant personnel; at hire and at least annually; role-based content; completion tracked
5. Customer Due Diligence	Understanding customer relationships and identifying and verifying beneficial owners of legal entity customers	Risk profiling; nature and purpose of relationship; beneficial ownership for legal entities; ongoing monitoring

4. Know Your Customer: The Foundation

Know Your Customer (KYC) is the foundation of any AML program. Before establishing a relationship, institutions must know who they are dealing with — the Customer Identification Program (CIP) requires collection and verification of basic identity information. Beyond identity, effective KYC means understanding the customer's business, the expected nature of the relationship, and the sources of funds, so that when transactions occur, the institution has a baseline against which to assess whether activity is suspicious.

Risk-based KYC means applying more rigorous due diligence to higher-risk customers and streamlined processes for lower-risk customers. Higher-risk categories typically include PEPs, MSBs, customers in high-risk jurisdictions, and cash-intensive businesses. Enhanced Due Diligence (EDD) for these customers involves deeper inquiry into source of funds, source of wealth, and anticipated transaction patterns, along with more frequent monitoring.

5. Transaction Monitoring and SAR Filing

Transaction monitoring is the process of reviewing customer transactions — in real time or on a batch basis — to identify patterns or transactions that deviate from expected behavior in ways that may indicate money laundering or other financial crime. Effective monitoring programs are calibrated to the institution's customer base, products, and risk profile, and are regularly reviewed to ensure rules are not producing excessive false positives (wasting compliance resources) or false negatives (missing genuine suspicious activity).

When monitoring, customer review, or any other source causes the institution to know, suspect, or have reason to suspect that a transaction involves money laundering or violates the BSA, the institution must file a Suspicious Activity Report (SAR) with FinCEN via the BSA E-Filing System. The SAR narrative is a critical law enforcement tool — a well-written SAR provides agents with the information they need to trace criminal proceeds and build prosecutable cases.

6. OFAC: The Sanctions Overlay

OFAC compliance is distinct from — but closely related to — AML compliance. While AML focuses on detecting criminal proceeds moving through the financial system, OFAC requirements prohibit transactions with specific designated individuals, entities, and countries regardless of whether the transaction involves criminal proceeds. Violating OFAC sanctions can result in civil penalties of millions of dollars per transaction — strict liability applies in many cases, meaning intent is not required for a penalty.

Institutions must screen customers, transactions, and counterparties against OFAC's Specially Designated Nationals (SDN) list and other applicable lists at onboarding and on an ongoing basis as lists are updated. A true match must result in blocking the transaction and notifying OFAC within 10 business days.

7. Current AML Trends and Typologies

- Trade-based money laundering (TBML): using international trade transactions (invoicing, letters of credit) to move value across borders under the cover of legitimate commerce
- Virtual asset/cryptocurrency laundering: using decentralized exchanges, mixing services, and cross-chain bridges to obscure the trail of illicit cryptocurrency
- Beneficial ownership obfuscation: using complex chains of shell companies and nominees to hide the true beneficial owner of assets
- Real estate as a layering vehicle: purchasing and selling real estate, particularly in cash-intensive luxury markets, to integrate illicit funds
- Professional money laundering networks: organized criminal groups offering money laundering as a service using networks of nominees and corporate structures

8. Key Takeaways

- Money laundering moves criminal proceeds through placement, layering, and integration — financial institutions are the primary battleground
- The BSA and FinCEN regulations require a five-pillar AML program: internal controls, independent testing, compliance officer, training, and CDD
- Know Your Customer is the foundation of AML — understanding who your customer is and what their expected behavior looks like is essential for detecting anomalies
- SARs are a critical law enforcement tool — file when you know, suspect, or have reason to suspect; don't wait for certainty
- OFAC compliance is a strict-liability obligation that runs alongside AML — screen all customers and transactions, and block/report confirmed matches

9. AML in the Digital Age: FinTech and Cryptocurrency

The rise of fintech companies, digital banks, payment platforms, and cryptocurrency exchanges has significantly changed the AML landscape, creating both new money laundering risks and new regulatory challenges.

FinTech and the BSA

Fintech companies offering financial services in the US are generally subject to the same BSA/AML obligations as traditional financial institutions, though the specific requirements depend on their regulatory status. Money transmitters must register with FinCEN as Money Services Businesses and comply with the full suite of BSA requirements including AML programs, CTR and SAR filings, and CDD requirements. Payment facilitators, peer-to-peer platforms, and other fintech models may also trigger BSA obligations depending on the nature of their services.

Virtual Assets and the FATF Travel Rule

Virtual asset service providers (VASPs) — including cryptocurrency exchanges, wallet providers, and DeFi protocols — have become a significant focus of AML enforcement globally.

FATF's Recommendation 16, known as the 'Travel Rule,' requires VASPs to transmit originator and beneficiary information with virtual asset transfers above a defined threshold, mirroring the wire transfer record-keeping requirements that apply to traditional financial institutions. FinCEN has proposed domestic Travel Rule requirements for cryptocurrency transfers, and the regulatory landscape continues to evolve rapidly.

10. The Role of Technology in AML Programs

Technology plays an increasingly central role in effective AML compliance, both in enabling money launderers to obscure the origins of criminal funds and in enabling financial institutions to detect and report suspicious activity. Key technology applications in modern AML programs include:

- Transaction monitoring systems: rules-based and AI/ML-powered platforms that analyze transaction patterns to identify potential money laundering, reducing both false positive rates (which waste compliance resources) and false negative rates (which let suspicious activity go undetected)
- Identity verification and KYC automation: document scanning, biometric verification, and database screening tools that accelerate customer onboarding while maintaining the rigor of the CIP
- Network analysis: tools that map relationships between accounts, transactions, and entities to detect complex layering schemes that may not be visible from individual account analysis
- Adverse media and negative news screening: automated tools that continuously monitor public sources for news of criminal allegations, regulatory actions, or sanctions exposure related to customers or their beneficial owners
- Case management: platforms that track alert investigations from triage through SAR filing decision, maintaining a documented record of the institution's analysis and conclusions

11. Key AML Regulatory Resources

Resource	Where to Find It	What It Contains
FFIEC BSA/AML Examination Manual	ffiec.gov/bsa_aml_infobase.htm	Comprehensive guidance on BSA/AML examination expectations for banking institutions; the primary reference for what examiners assess
FinCEN Advisories and Guidance	fincen.gov/resources/advisories	Alerts, advisories, and guidance on specific money laundering typologies, geographic risks, and reporting obligations
FinCEN SAR Activity Reviews	fincen.gov/resources/publications	Periodic publications analyzing SAR filing trends and typologies; valuable for calibrating monitoring programs
FATF Recommendations and Guidance	fatf-gafi.org/en/publications	International AML standards and guidance; high-risk and non-cooperative jurisdiction lists
OFAC Sanctions Lists	ofac.treas.gov	SDN List and other sanctions lists; updated frequently; must be integrated into screening systems